

PitchBook Data, Inc.

Nizar Tarhuni Executive Vice President of Research and Market Intelligence

Paul Condra Global Head of Private Markets Research

James Ulan Director of Emerging Technology Research

Institutional Research Group

Analysis



Paul Condra
Global Head of Private Markets Research
paul.condra@pitchbook.com



James Ulan
Director of Research, Emerging Technology
james.uland@pitchbook.com



Kyle Stanford, CAIA
Director of Research, US Venture
kyle.stanford@pitchbook.com



Ali Javaheri
Research Analyst, Emerging Spaces
ali.java@pitchbook.com

pbinstitutionalresearch@pitchbook.com

Publishing

Designed by **Megan Woodard**

Published on June 2, 2025

Contents

Key takeaways	1
Executive summary	2
Survey-taker demographics	4
Tariff expectations	5
Technology expectations	8
VC expectations	11

EMERGING TECH RESEARCH

H1 2025 VC Tech Survey: Investor Insights on AI, Dealmaking, and Fundraising

VC investors anticipate tariff-driven supply chain pressures, sustain deal activity with increased scrutiny, decode AI and deep tech investment shifts, and brace for more conservative funding cycles and exits.

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- **Moderate disruption forecast:** 84% of survey respondents anticipate at least mild to moderate impact from US President Donald Trump’s “Liberation Day” tariff announcements, with 64% expecting higher supply chain costs and 50% foreseeing slowed growth. The manufacturing and semiconductor/hardware segments were deemed the most vulnerable to tariff disruption.
- **Pragmatic dealmaking:** Despite 45% of respondents noting increased LP risk aversion, 53% of VC investors are actively hunting for deals—34% with greater scrutiny—while 25% are dialing back international investments, 44% are pausing for clarity, and 63% believe trade tensions will spur domestic investment in strategic sectors.
- **AI-driven sector shifts:** The share of survey respondents anticipating AI disruption in fintech jumped to 52% (from 32% in H2 2024) thanks to advances such as automated underwriting and LLM-based copilots. Healthcare disruption is expected by 45% (up from 38%), enterprise tech remains at about 45%, and the transportation/logistics disruption outlook fell to 16% (down from 26%).
- **Evolving AI adoption barriers:** The top blocker to AI adoption is a lack of clear use cases—the cause cited by 45% of respondents—followed by workforce skill gaps and high implementation costs. The number of respondents with regulatory concerns around AI eased from 55% to 39%, and bullishness on generative AI stabilized, with 44% of respondents more upbeat and 45% reporting no change in sentiment.

- **Diversified deep tech allocations:** Per survey responses, AI investment is spread across healthcare (30%), manufacturing (23%), and infrastructure (27%). In deep tech, robotics leads at 58% of investment and quantum accounts for 38%. Beyond AI, the most growth capital is drawn by health/biotech (47%) and fintech (38%), although many warn of subsector oversaturation.
- **Cooling fundraising outlook:** Only 38% of survey respondents now expect VC funding for tech startups to rise (down from 58% in H2 2024), while 28% foresee moderate declines (up from 9%). The plurality of respondents remains neutral, indicating a shift toward risk-managed expectations rather than panic.
- **More conservative exits and stakes:** 34% of respondents report increasing ownership stakes—up from 11% of respondents in H2 2024. Only 34% still expect moderate exit improvements (down from 70%), with 25% predicting stagnation and 28% anticipating an outright decline. Respondents cited key liquidity drivers as tariff stability and falling interest rates.
- **Extended fund cycles and secondary activity:** 60% of those surveyed plan to launch another fund within two years, but many are stretching timelines to three-to-five years or delaying altogether. Secondary markets are becoming an increasingly popular liquidity outlet.

Executive summary

The H1 2025 VC Tech Survey, which gathered responses from 32 venture capital investors, offers a detailed snapshot of how the industry is adjusting to an increasingly uncertain macroeconomic environment shaped by trade policy, evolving AI dynamics, and a shifting fundraising landscape. Compared with the [H2 2024](#) VC Tech Survey, the responses in this edition reflect a mood of recalibration rather than retreat—VC investors are responding not with panic but with strategic adjustments as they navigate geopolitical uncertainty and technological transition.

Trade tensions, particularly following US President Donald Trump’s “Liberation Day” tariff announcements, remain top of mind for many investors. A combined 84% of respondents expect these measures to cause at least mild to moderate disruption, with the most cited consequences being increased supply chain costs and curtailed growth initiatives. Ironically, the sectors that survey takers identified as being most exposed to harm—manufacturing and semiconductors/hardware—are precisely those the tariffs aim to shield. This misalignment has investors questioning the effectiveness of protectionist strategies. Nevertheless, VC activity continues: 53% of respondents reported remaining active in deal sourcing, although most are approaching new investments with heightened scrutiny. LP sentiment is also shifting, with 45% of investors noting that limited partners have grown more risk averse. Despite this caution, 63% believe the current geopolitical climate will spur domestic investment in strategic technologies, highlighting a potential pivot toward tech sovereignty.

In the realm of AI, investor outlooks show signs of normalization rather than decline. Fintech stands out as the sector most likely to experience disruption from AI startups, with 52% of survey respondents expecting impact—up sharply from 32% in the previous survey—while healthcare and enterprise tech both remained strong at 45%. Transportation and logistics, however, have seen a drop in expectations of disruption, down to 16% from 26%. As excitement matures into implementation, the main barriers to AI adoption have become more grounded: 45% of those surveyed cite a lack of clear use cases, and 42% point to the high cost of inference and model development. Regulatory concerns have become less pressing, noted by 39% of respondents (down from 55% in H2 2024), and bullishness around generative AI appears to be stabilizing. With this survey, 44% of investors said they are more bullish—down from 47%—while 45% reported no change in sentiment.

Capital deployment patterns in niche tech sectors further reinforce this trend toward strategic diversification. Per survey results, investors are spreading their AI bets across vertical applications—30% in healthcare, 27% in AI infrastructure, and 23% in manufacturing. Among segments targeted by survey participants active in the deep tech space, robotics continues to lead, with quantum computing maintaining steady interest. Beyond AI, growth capital is expected to concentrate in biotech (noted by 47% of respondents) and fintech (noted by 38%). Yet many VC investors warn of saturation across nearly all AI subsectors, especially in agent-focused solutions, suggesting that future winners will be defined more by operational excellence than novel ideas.

On the fundraising front, caution is becoming more visible. Only 38% of respondents expect an increase in VC funding over the next 12 months—down from 58% in H2 2024—while 28% now forecast a moderate decline, up significantly from just 9% last round. Confidence in the venture market has also pulled back slightly: More investors now rate their outlook at a “two” on a scale from one to five, while fewer place it at a “four.” In terms of deal dynamics, 34% of respondents report taking larger stakes in funding rounds, up from 11% in H2 2024, likely reflecting greater investor advantage in a cautious capital environment.

Optimism around exits has fallen sharply—only 34% foresee a moderate increase in exit activity (down from 70% in H2 2024 period), with a rising share expecting stagnation (25%) or decline (28%). As for the drivers of exits, survey respondents identified a declining interest rate environment (47%) and tariff stability (38%) as the most important factors.

Looking ahead, 60% of respondents combined still plan to raise another fund within two years, but a growing contingent is pushing timelines to three-to-five years or opting out altogether, hinting at a consolidating market. Regionally, Europe leads as the most attractive destination outside of the US, drawing investment from 48% of respondents. Taken together, the data suggests an industry that remains active and opportunity seeking, but with sharpened caution, a shift in timelines, and a growing emphasis on defensibility and discipline.

Survey-taker demographics

Figure 1: What is your role at your VC firm?

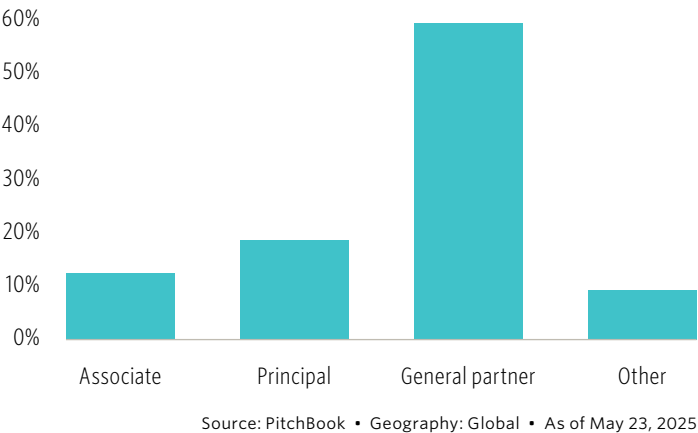


Figure 2: Where is your VC firm located?

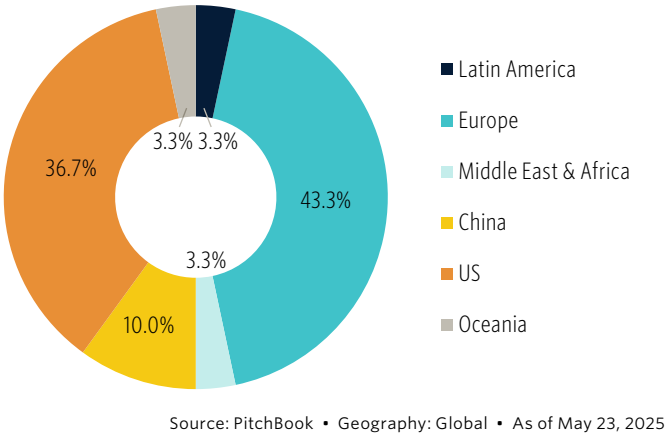


Figure 3: What sort of technologies does your firm primarily invest in?

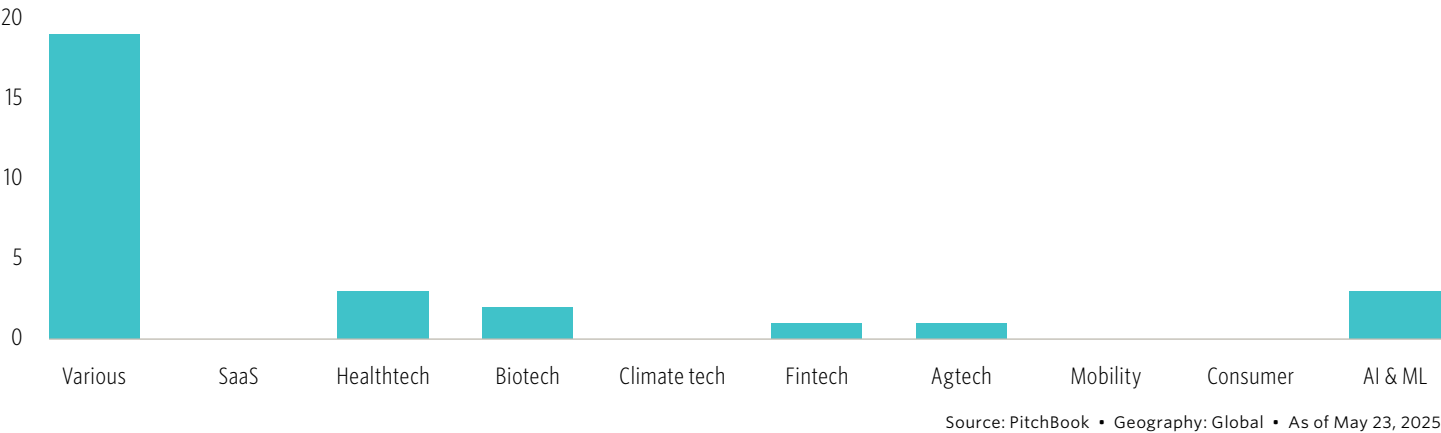


Figure 4: What is your firm’s current AUM?

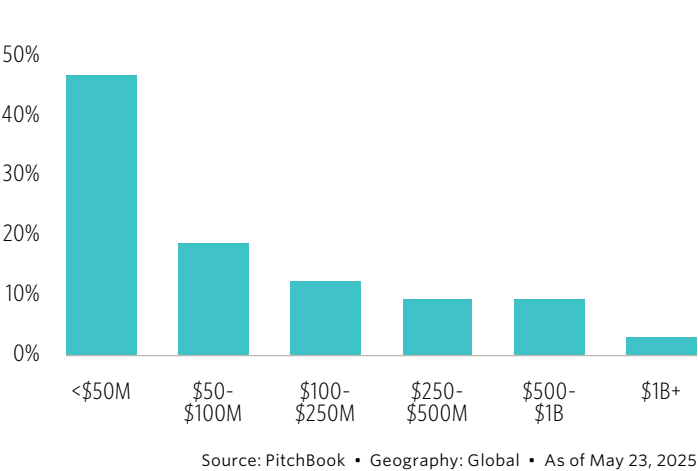
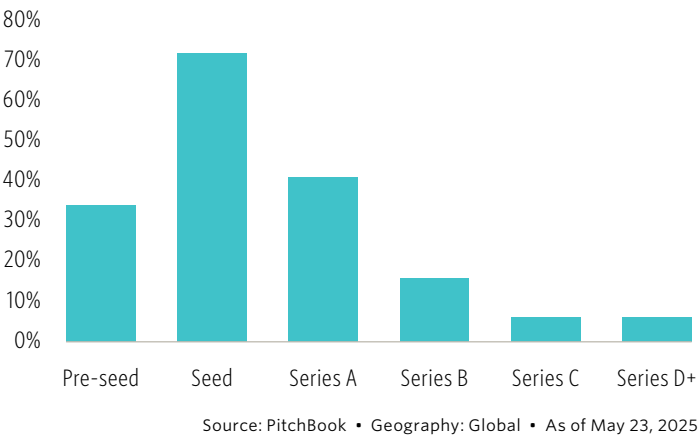


Figure 5: At what stage does your firm make most of its investments?

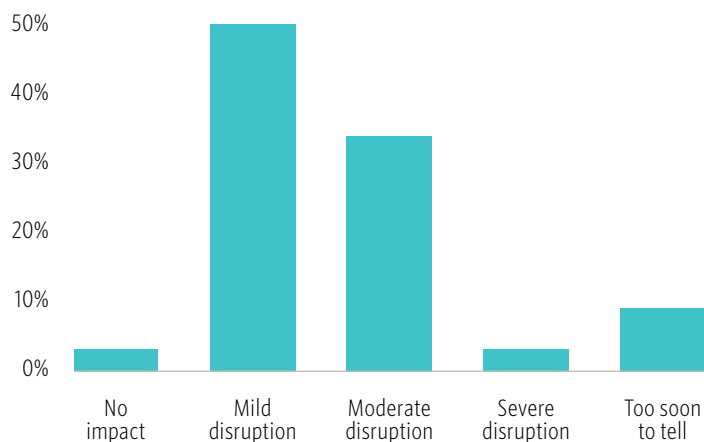


Tariff expectations

The H1 2025 VC Tech Survey reveals a nuanced but clear-eyed view of the economic landscape in the wake of the “Liberation Day” tariffs, part of the Trump administration’s escalatory trade posture. While 84% of respondents foresee at least mild to moderate disruption from the trade war, the perceived impact appears more structural than existential. Most investors expect ripple effects across supply chain costs (64%) and growth initiatives (50%), underscoring a cautious but not paralyzed outlook. Interestingly, the sectors deemed by respondents as the most vulnerable—manufacturing (47%) and semiconductors/hardware (44%)—are the very industries the tariffs ostensibly aim to protect, highlighting the internal contradictions of protectionist policy when filtered through the lens of venture investing.

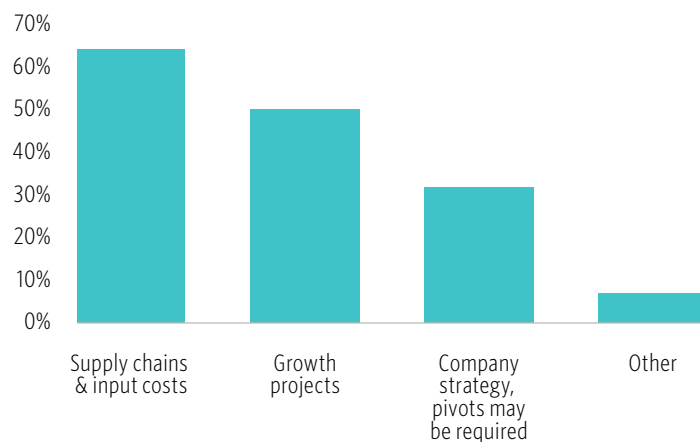
Investor behavior is shifting, but not retreating wholesale. Nearly half of respondents noted heightened risk aversion among LPs, yet 53% of VC investors remain actively hunting for deals—although with more scrutiny, as indicated by 34% of respondents. One cohort of VC investors captured in the survey are reducing international investments (25%), while another holds steady, awaiting clarity (44%). Notably, 63% believe the trade tensions will accelerate domestic investment in strategic sectors, suggesting that geopolitical friction may act as a forcing function for tech sovereignty. The data ultimately reflects an investor class adapting pragmatically, wary of volatility but still opportunistic, with an eye toward long-term shifts in global economic alignment.

Figure 6: To what extent do you expect the current trade war and tariff uncertainty to impact your portfolio companies over the next six to 12 months?



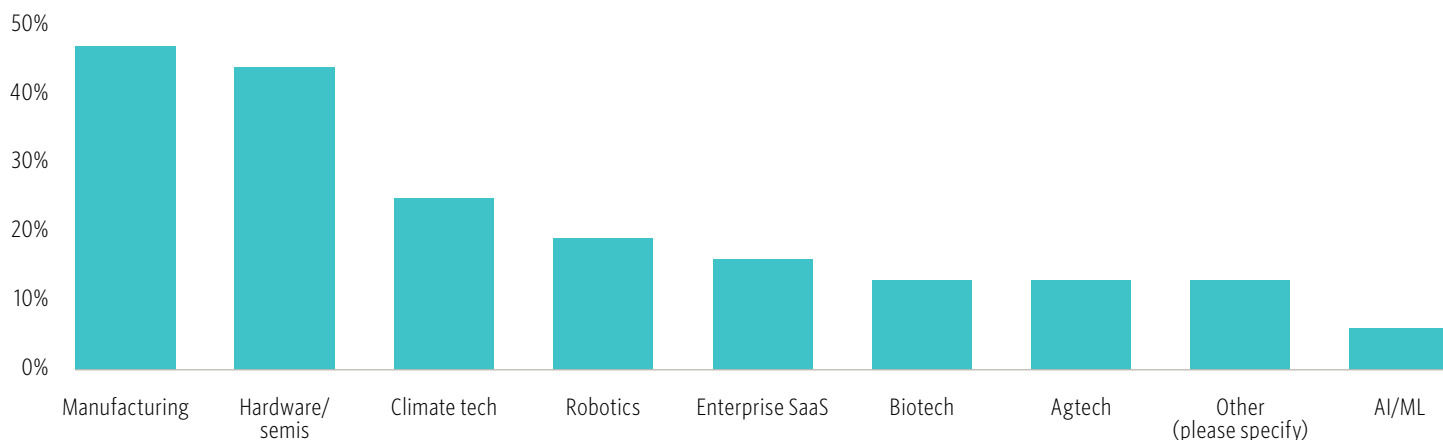
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 6a: If you expect any impacts, where will they be?



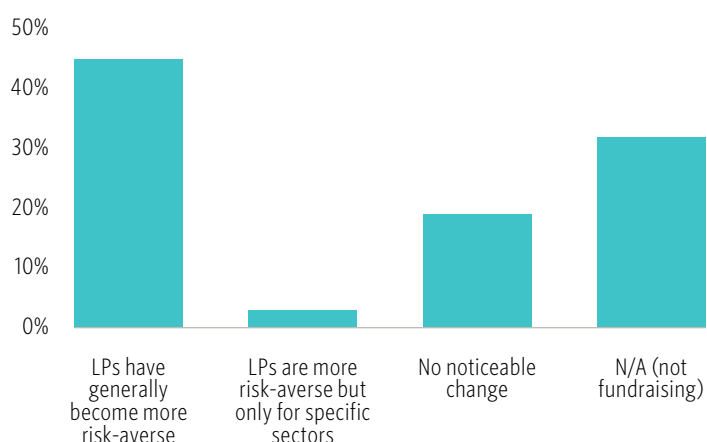
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 7: Which of the following sectors in your portfolio are most vulnerable to new tariffs or trade restrictions? (Select up to three.)



Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 8: How has the tariff war affected conversations with LPs around fundraising?



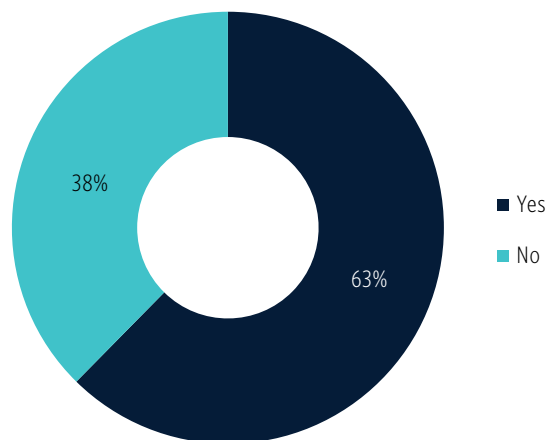
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 9: How have tariffs impacted your near-to-midterm strategy?



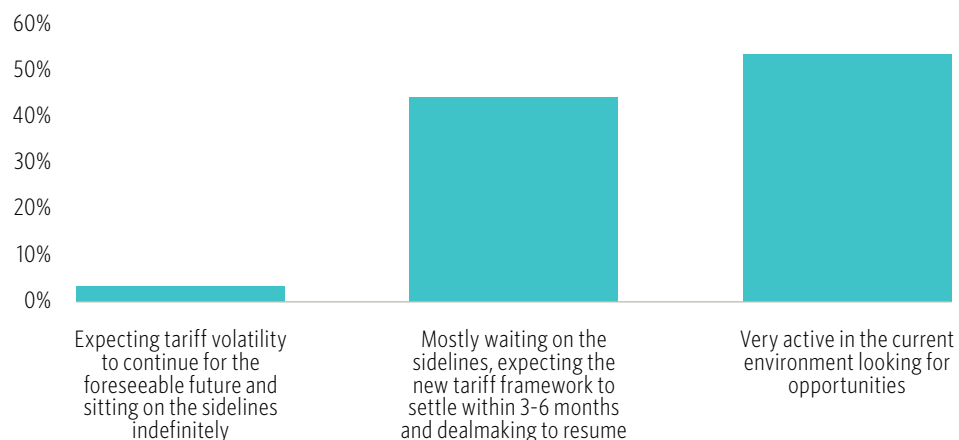
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 10: Do you believe escalating trade tensions will accelerate domestic investment in strategic technologies like AI, semiconductors, and quantum computing?



Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 11: Which outlook approximates how you are looking through the current volatility?



Source: PitchBook • Geography: Global • As of May 23, 2025

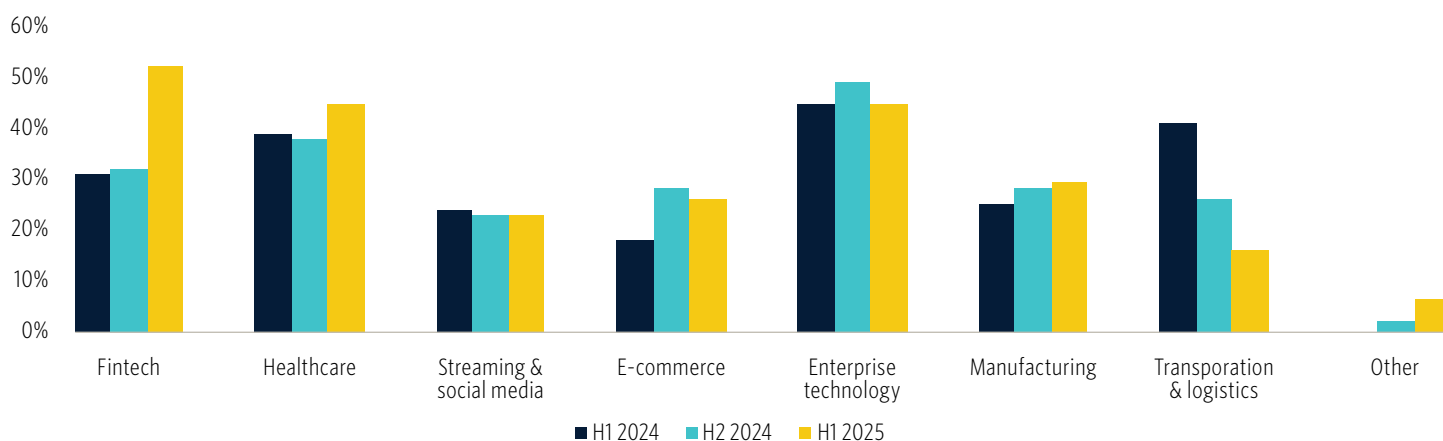
Technology expectations

VC investors anticipate a maturing, not cooling, market for technology disruption and AI adoption. Fintech is expected to see the most significant AI-driven disruption, with 52% of respondents saying the sector is at risk of competitive pressures from AI startups, a substantial increase from 32% in H2 2024. This surge is attributed to advancements such as automated underwriting and LLM-based financial copilots. Healthcare and enterprise tech also remain key areas for disruption. Conversely, interest in transportation and logistics is declining, with only 16% of respondents expecting disruption, down from 26%, likely due to AI's limited short-term impact in these capital-intensive sectors.

Perceived barriers to AI adoption have shifted toward practical concerns. A lack of clear use cases is the most cited blocker at 45%, followed by workforce gaps and high implementation costs, indicating a move beyond the initial hype. Regulatory concerns have decreased significantly from 55% to 39% since H2 2024, suggesting investors are adapting to the policy landscape. Bullish sentiment regarding generative AI is stable, with 44% expressing more bullishness (down from 47%), and 45% reporting no change in sentiment, marking a transition from euphoria to evaluation.

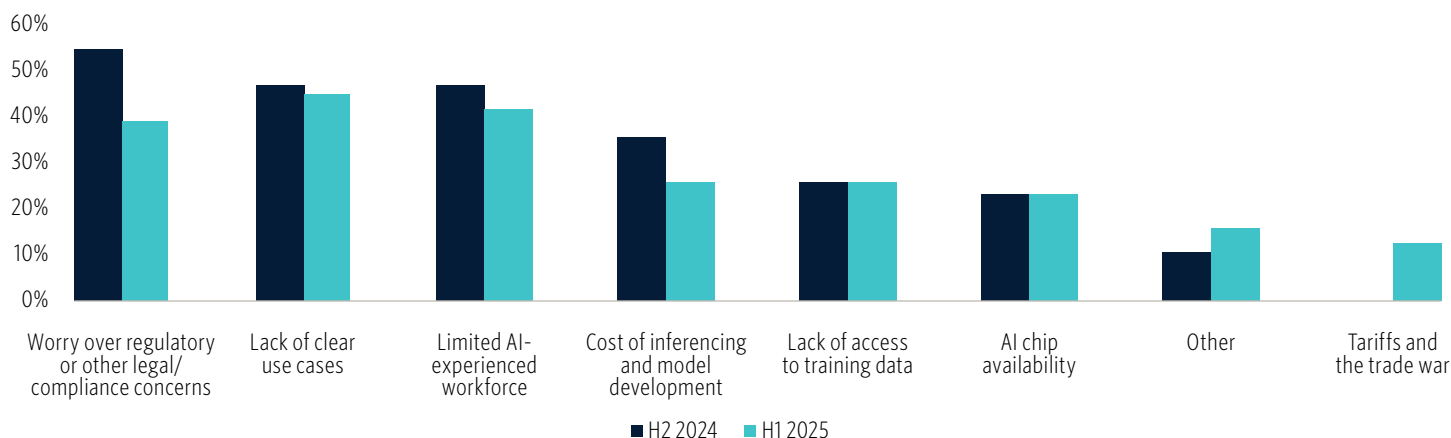
Per survey responses, AI investments are increasingly allocated across sectors such as healthcare (30%), manufacturing (23%), and infrastructure (27%). Among surveyed investors in deep tech, robotics continues to be dominant (58%), while quantum computing (38%) remains a long-term prospect. Beyond AI, healthcare and biotech (47%) and fintech (38%) are expected to attract the most growth capital. Despite this broader focus, many investors have noted oversaturation in all AI subsectors, particularly in agentic workflows, suggesting that future success will be more dependent on execution than novelty.

Figure 12: In which areas of technology are incumbents most likely to experience disruptive/competitive pressures from AI startups over the next 12 to 24 months? (Choose up to three.)



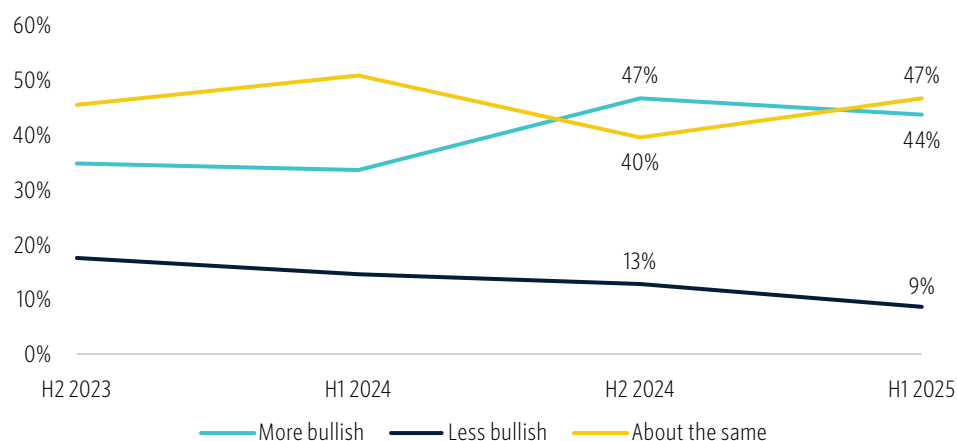
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 13: What do you see emerging as the most important blockers to AI adoption? (Choose three.)



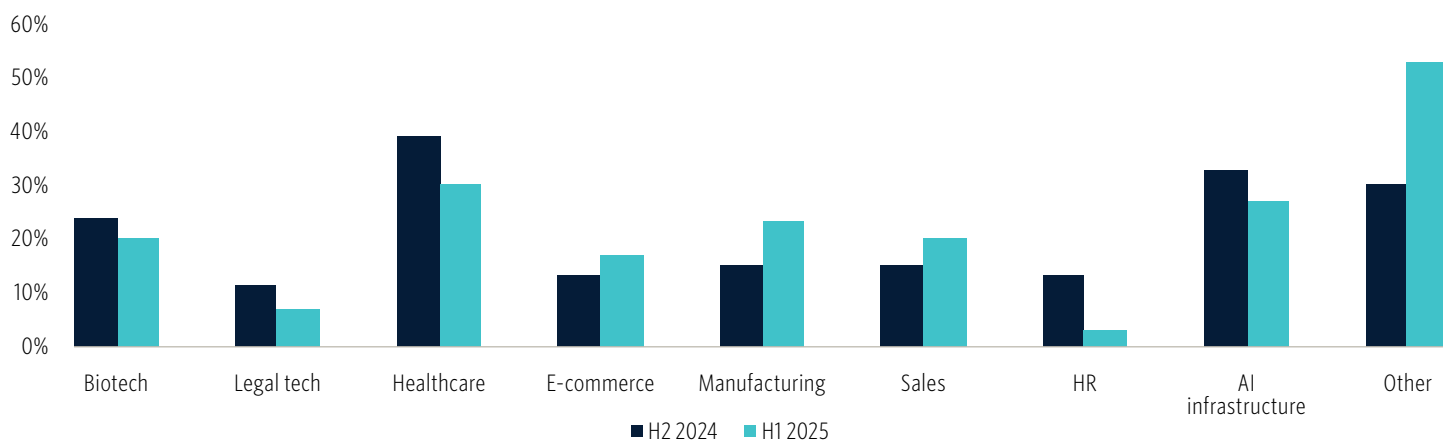
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 14: Are you more or less bullish toward generative AI as a disruptor compared to how you felt one year ago?



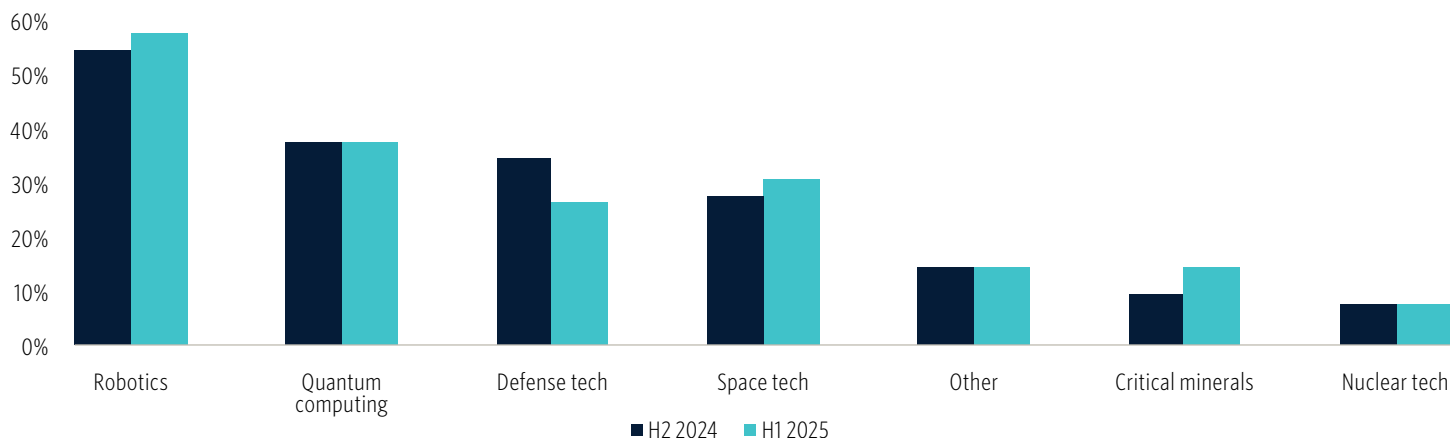
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 15: If your firm has made AI investments, which vertical applications have you focused on? (Select as many that apply.)



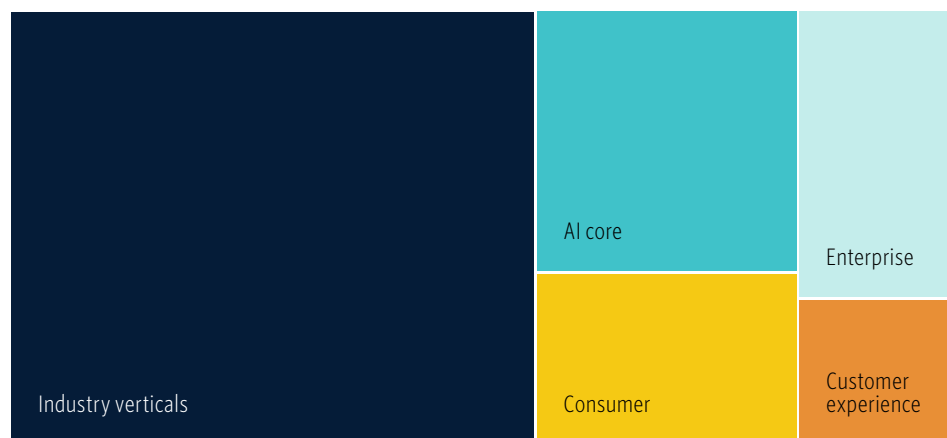
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 16: Does your firm have plans to make investments in any of the following deep technology sectors? (Select as many that apply.)



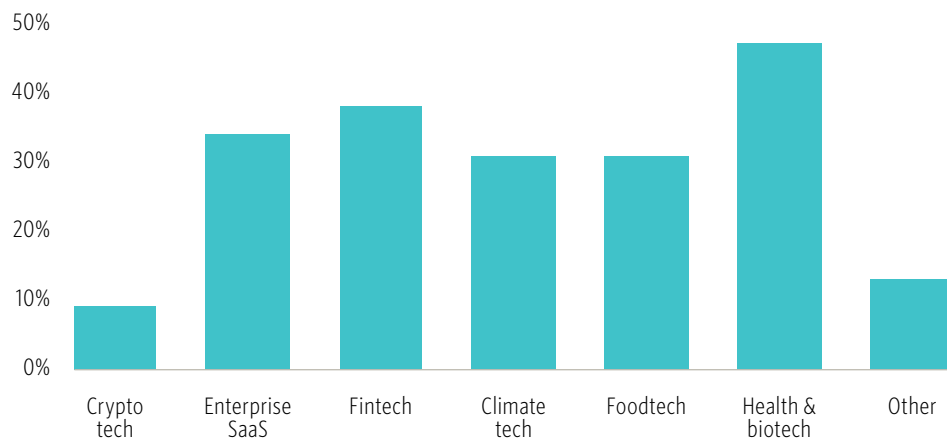
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 17: Where do you see the most promising AI investment opportunities over the next 12 months?



Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 19: Aside from AI, which other areas of technology do you expect could attract significant growth capital over the next 12 months? (Choose up to three.)



Source: PitchBook • Geography: Global • As of May 23, 2025

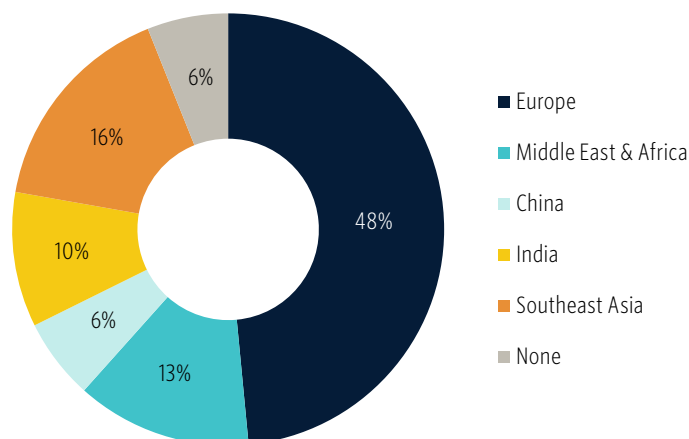
VC expectations

Investor sentiment regarding venture fundraising is clearly cooling, indicating a more cautious phase for both capital availability and confidence within the broader VC ecosystem. Only 38% of respondents anticipate an increase in VC funding for tech startups over the next year, a notable decrease from 58% previously. Conversely, 28% now expect a moderate decline, a significant rise from just 9% in H2 2024. Confidence in the health of the VC industry has also softened. More respondents rated their outlook at a “two,” while fewer rated it a “four.” Despite this, the majority of respondents still rate their outlook a neutral “three,” suggesting a shift to “risk-managed” mode rather than anticipating a collapse.

This conservative stance is evident in deal dynamics and exit expectations. While most investors report stable ownership stakes, 34% reported increasing stake sizes (up from 11%). Exit optimism has also significantly dimmed: Only 34% (a steep drop from 70% in H2 2024) still expect moderate improvement. More respondents are forecasting stagnation or even declines in exit activity. Tariff stability, a new survey variable, emerged as a meaningful driver of liquidity expectations at 38%, second only to declining interest rates, at 47%, highlighting the increased importance of geopolitical macro factors for VC investors.

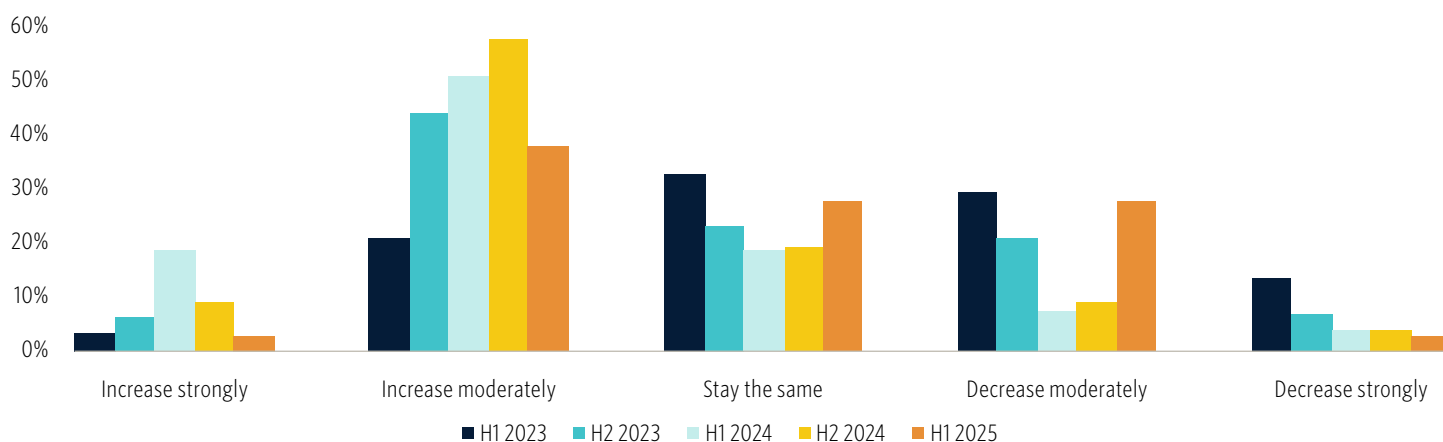
Looking ahead, most respondents—60% combined—still plan to raise another fund within the next two years. However, increasing numbers of respondents are extending their timelines to three-to-five years, or not planning to raise again at all. There is also growing activity in secondaries as investors seek liquidity outside traditional exit windows.

Figure 20: Which regions outside the US appear the most attractive for VC investment currently?



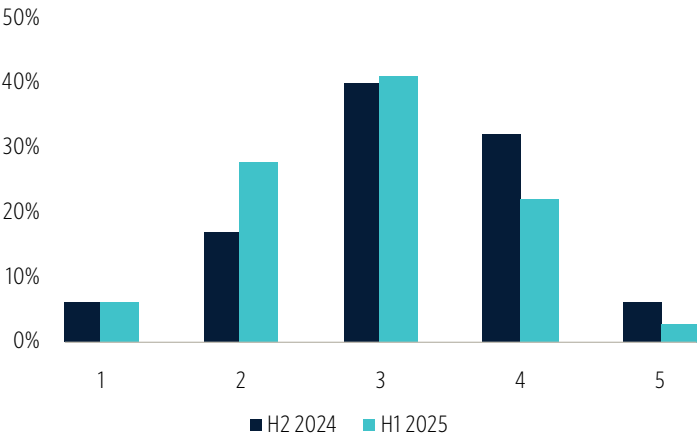
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 21: Do you expect total dollars of VC investment in technology startups to increase/decrease over the next 12 months compared to the previous 12 months?



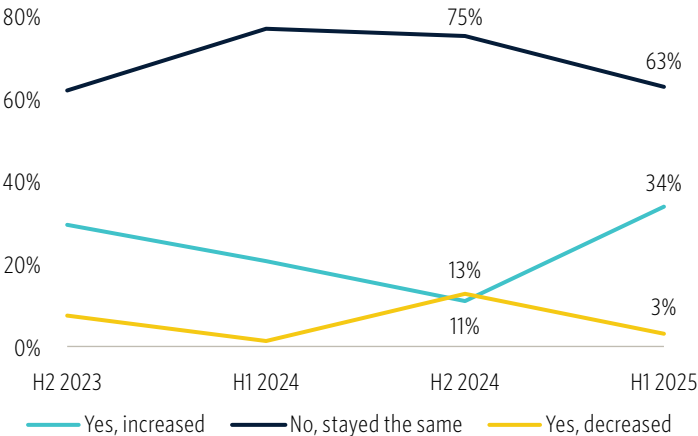
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 22: On a scale of one to five, one being not confident and five being very confident, how confident are you in the health of the VC industry in your market?



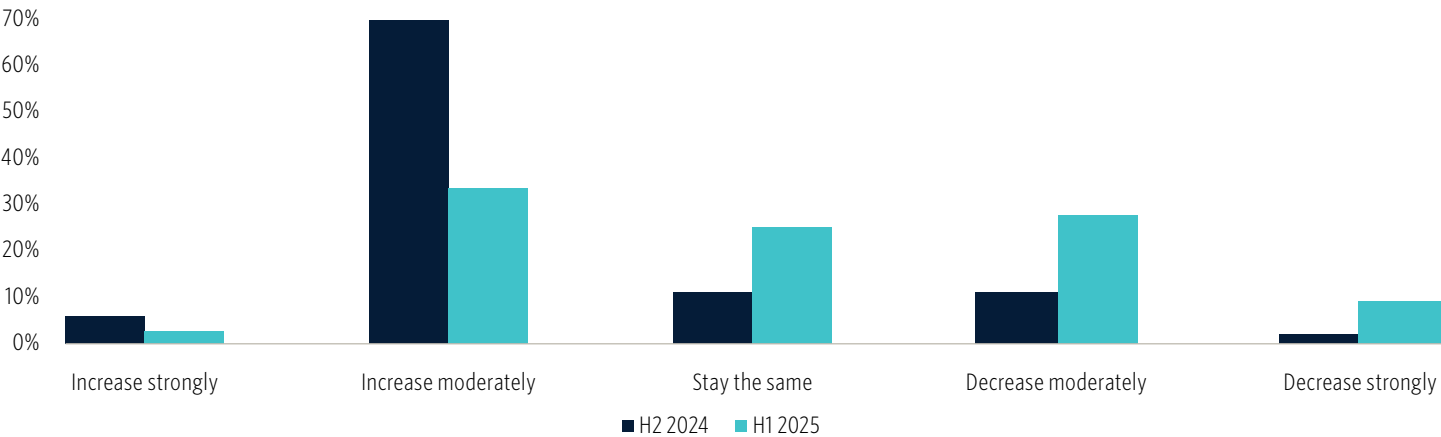
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 23: Did the percentage stake acquired in rounds you invested in change over the last 12 months?



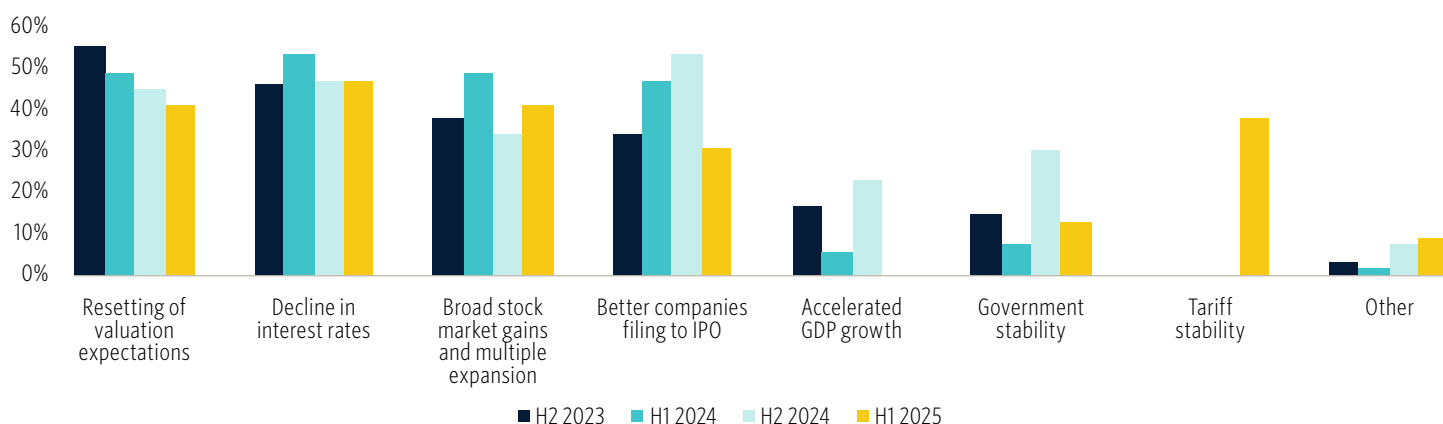
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 24: How do you expect exit activity for VC-backed startups to change over the next six to 12 months?



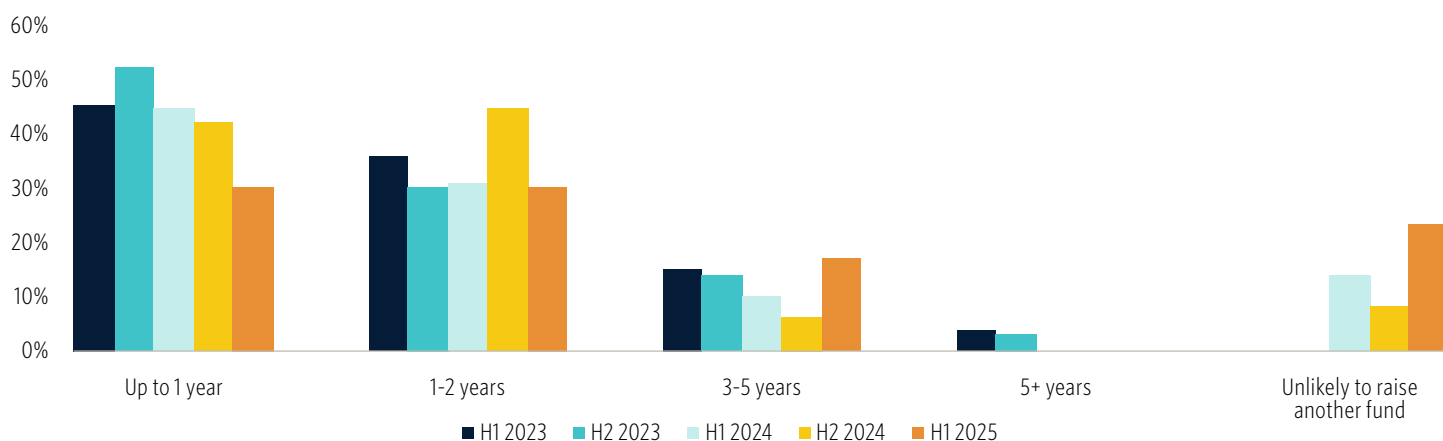
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 25: Which factors do you view as the most important to driving an increase in exit activity? (Choose up to three.)



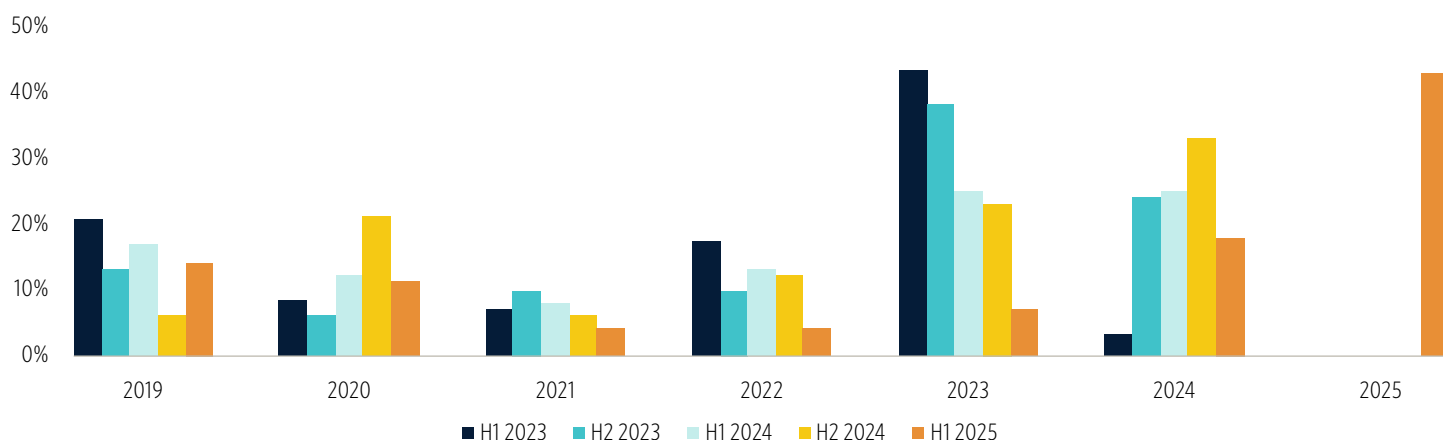
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 26: When do you plan to begin raising your next fund?



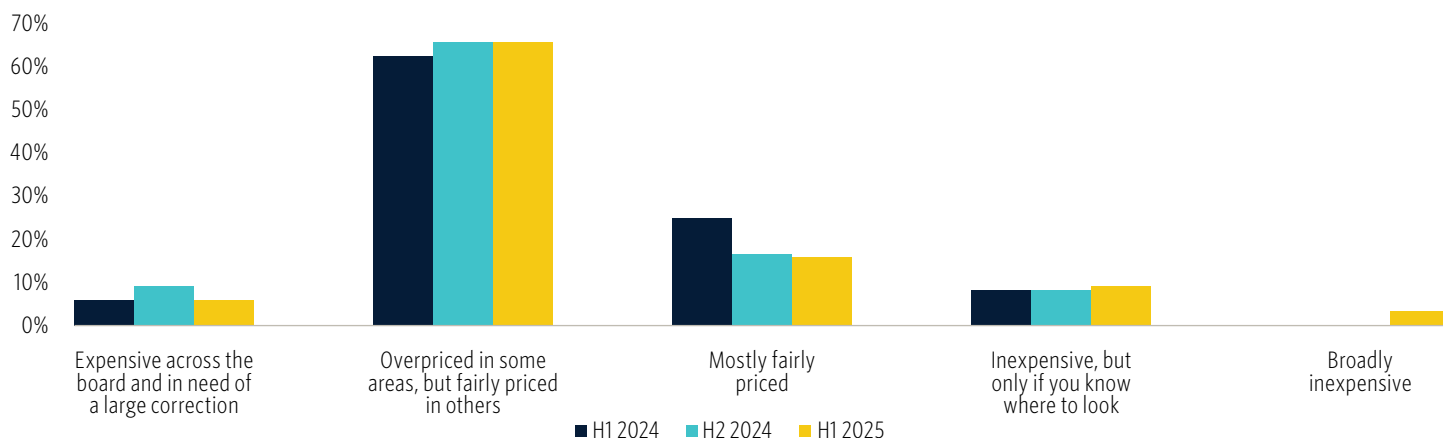
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 27: Which VC vintage do you think will generate the strongest returns out of this group?



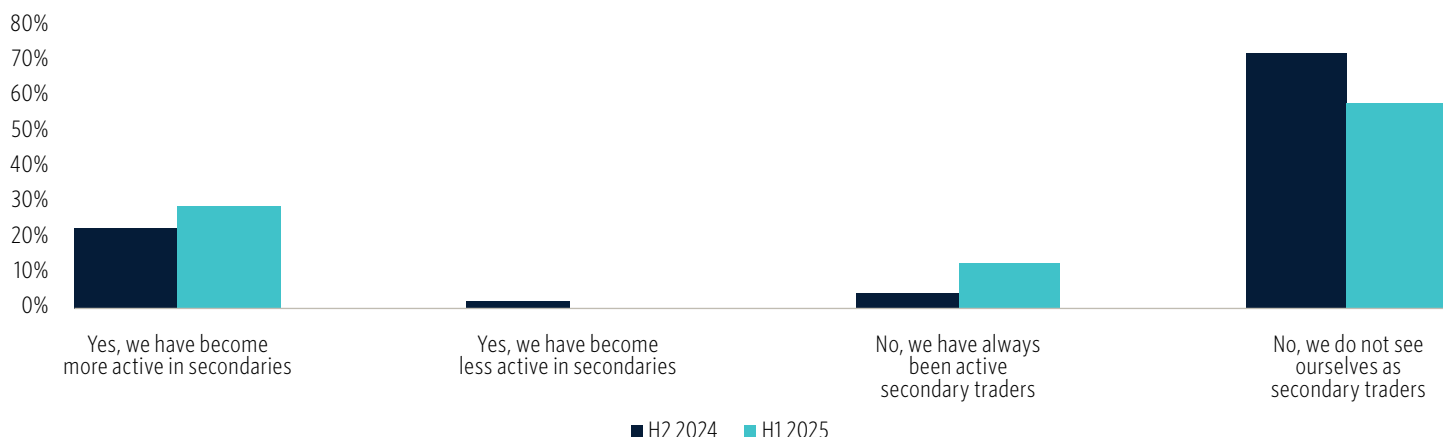
Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 28: In terms of valuations, do you view the startup landscape as:



Source: PitchBook • Geography: Global • As of May 23, 2025

Figure 29: Has your firm's activity, or thoughts around activity, in secondary market sales changed over the past year?



Source: PitchBook • Geography: Global • As of May 23, 2025